

Standard Chartered

Increasing stat EPS by 2-4% 26-28E on stronger revenues with >15% stat ROTE in sight; Remain OW

Following StanChart's 4Q results (see [here](#)), we increase Stated EPS by +4%/+2%/+2% for FY26-28E driven by stronger revenues, now forecasted at a +5% CAGR across 25-28E led by non-NII in 26E at +10% y/y and broadening out to NII growth in outer years. This is partly offset by higher costs, which we forecast on a stated basis at \$13.3bn FY26E, with flat growth in 27E and 3% growth in 28E - driving operating leverage annually and a decline in the CIR towards mid-50s. Overall, we forecast stated ROTE at 13.2% 26E (vs >12% targets), growing to 15.3% 28E. We keep our distribution forecasts largely unchanged with a dividend payout ratio of 35%/y (yielding 3-4%) and annual buybacks of \$2bn/y for a total payout ratio of c70%/y and total yield of 7-8%/y. As a result of these changes, we increase our PT to 2,200p. We look forward to the Group's HK investor day in May where we expect mgmt to showcase investments being made to drive a stronger trajectory of sustainable returns of >15% 28E alongside a focus on distributions. StanChart (OW) is a Top Pick with favoured exposure to Asian wealth trends, trading on 8.8x stated PE, 1.2x PTNAV for a stated ROTE of 14.8% 27E.

- **We forecast FY26E NII of \$11.2bn** and flat y/y with volume growth of 4% across loans and deposits offset by interest rate reductions (c44bps reduction in the Group's currency weighted curve with every 100bps parallel reduction worth \$620m), a normalisation of pass through rates (with every 1% beta worth c\$30m annl.), and portfolio disposals worth c2% of NII. We forecast NII growth of +2%/+4% in FY27/28E as interest rate pressures ease alongside continued volume growth.
- **We forecast non-NII growth of +10% in FY26E** with Wealth Mgmt +18% y/y supported by net new money growth of +13% largely in Wealth products, Markets +6% y/y with Flow income +9% y/y, and Banking +7% y/y. In outer years, we expect non-NII growth to taper to +8%/+6% in 27/28E, driving total revenue CAGR of 5%/y 25-28E.
- **We forecast stated costs of \$13.3bn 26E**, in line with guidance. In 27E, we a broadly flat cost base with a reduction of CTA costs of \$0.6bn and in-year cost savings of \$0.3bn offset by business growth, increased investments and inflation.

Overweight

STAN.L, STAN LN

Price (24 Feb 26):1,789p

▲ **Price Target (Dec-27):2200.0p**
Prior (Dec-27):2170.0p

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (\$)	2.42	2.26	-6.6%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	0.55	0.59	
Q2	0.69	0.65	
Q3	0.47	0.50	
Q4	0.36	0.43	
FY	2.34	2.26	2.72

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



Company Data

Shares O/S (mn)	2,330
52-week range (p)	1,924-873
Market cap (\$ mn)	56,222.97
Exchange rate	74.14
Free float (%)	100%
3M ADV (mn)	3.53
3M ADV (\$ mn)	84.5
Volatility (90 Day)	25
Index	-
BBG ANR (Buy Hold Sell)	14 6 4

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	11,185	11,176	11,423	11,898
Non interest income	9,709	10,701	11,605	12,321
Operating expenses	(12,347)	(13,305)	(13,325)	(13,706)
Adj. PPOP	8,547	8,571	9,704	10,513
Provision for loan losses	(676)	(903)	(1,032)	(1,160)
Adj. PBT	7,900	7,717	8,719	9,398
Adj. net income	5,629	4,990	5,788	6,272
Adj. EPS	2.34	2.26	2.72	3.07
BBG EPS	2.22	2.35	2.72	3.00
DPS	0.61	0.79	0.95	1.07
Loans	286,788	298,353	310,550	323,457
Deposits	530,161	551,925	574,728	598,643
Total Assets	919,955	957,380	996,748	1,038,413
Margins and Growth				
NIM	2%	2%	2%	2%
Ratios				
Loan/ Deposit ratio	54%	54%	54%	54%
NPL / Loans	2%	2%	2%	2%
Coverage	52%	52%	52%	52%
CET 1	14.1%	13.8%	13.8%	13.9%
Non-int. income/ Income	46%	49%	50%	51%
Cost/Income	59%	61%	58%	57%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.4%)
ROA	0.6%	0.5%	0.6%	0.6%
ROE	12.4%	10.6%	11.9%	12.3%
Valuation				
Dividend yield	2.5%	3.3%	3.9%	4.5%
Adj. P/E	10.3	10.7	8.9	7.9
P/ BV	1.2	1.1	1.0	0.9

Summary Investment Thesis and Valuation

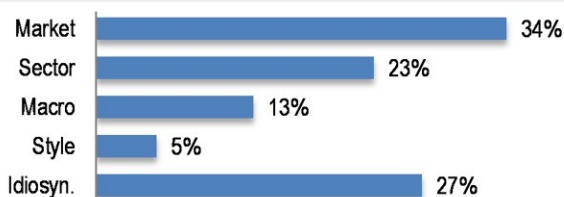
Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast c5% revenue growth CAGR across '25-28E driven by non-NII in 26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26E y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at a c3.5% CAGR 25-28E as we expect growing investments in the future to capitalise on productivity and revenue opportunities, with positive operating leverage expected annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow >15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y.

Valuation

We value StanChart using a SOTP methodology with divisional multiples differentiated by type of business. We value Corporate, Commercial and Institutional Banking at 8.5x P/E, and Consumer, Private & Business Banking Commercial at 9.5x P/E, and Ventures at 1x book. We value excess capital above 13.0% at 1x. Our Dec-27 PT is 2,200p.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI UK	0.77	0.63
Sect: Financials	0.59	0.65
Ind: Banks	0.74	0.72
Macro:		
US Breakeven 10 Year	0.50	0.39
JPM USD Tradeable Currency	0.31	0.32
JPM JULI Portfolio Spread Treasury	-0.26	-0.16
Quant Styles:		
Quality	-0.55	-0.46
DivYld	-0.47	-0.44
LowVol	-0.39	-0.33

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	40	20	22	11	48
Growth	56	71	40		
Momentum	5	60	12	45	83
Quality		88	89	73	67
Low Vol	74	93	73	70	98
ESGQ	86	65	65	93	65

Investment Thesis, Valuation and Risks

Standard Chartered (Overweight; Price Target: 2200.0p)

Investment Thesis

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Standard Chartered: SOP-based Valuation

£ MILLION Division	Post Tax Profit 2028E	Allocated B4 Equity 2028E	RWAs £ bn 2028E	Valuation Basis	£ mn Value	£ Per Share	(x) PE	(x) P/BV
Corporate, Commercial & Institutional Banking	3,618	20,580	158.3	P/E	30,755	15.26	8.5	
Consumer, Private and Business Banking	2,274	6,415	49.3	P/E	21,599	10.72	9.5	
Ventures	-126	996	7.7	P/B	996	0.49		1.0
Corporate centre and other	-748	2,711	20.9	P/E	-6,731	-3.34	9.0	
Capital Excess		2,243		1 times BV	2,243	1.11		1.0
Standard Chartered Group	5,018	32,946	236.2		48,862	24.2	9.7	
Standard Chartered Group (Dec-2027)						22.0		

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross border and political risks. COVID-19 continues to be a risk towards revenues and impairments in the near term, particularly in Asian economies, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions at normalised levels across the medium term given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to changes in the

regulatory environment in the UK, with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the Group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered: Summary of Financials

Income Statement							Balance Sheet						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Interest income	11,096	11,185	11,176	11,423	11,898	-	Cash and cash equivalents	48,168	48,168	48,168	48,168	48,168	-
Interest expense	-	-	-	-	-	-	Deposits with banks	58,872	58,872	58,872	58,872	58,872	-
Net interest income	11,096	11,185	11,176	11,423	11,898	-	Net loans	281,032	286,788	298,353	310,550	323,457	-
Non interest income	8,305	9,709	10,701	11,605	12,321	-	PP&E	2,425	2,425	2,425	2,425	2,425	-
o/w Fee income	3,734	4,249	4,683	5,079	5,392	-	Net intangibles	5,791	6,231	6,418	6,610	6,809	-
o/w Trading income	9,443	10,294	11,345	12,305	13,064	-	Financial Assets Available for Sale	-	-	-	-	-	-
Net revenues	19,401	20,894	21,876	23,029	24,219	-	Other assets	453,400	517,471	543,144	570,122	598,683	-
Non interest expense	(11,790)	(12,347)	(13,305)	(13,325)	(13,706)	-	Total assets	849,688	919,955	957,380	996,748	1,038,413	-
o/w Employee costs	(8,510)	(9,109)	(9,816)	(9,830)	(10,112)	-	Interest earning assets	397,270	403,502	415,302	427,741	440,897	-
Pre-Prov. Profits	7,611	8,547	8,571	9,704	10,513	-	Deposits	464,489	530,161	551,925	574,728	598,643	-
Provisions	(1,145)	(718)	(923)	(1,052)	(1,180)	-	Borrowings	66,359	67,907	67,730	67,550	67,366	-
Adj. PBT	6,516	7,900	7,717	8,719	9,398	-	Other liabilities	274,058	274,829	289,377	304,240	319,914	-
Income taxes	(1,972)	(1,866)	(2,161)	(2,354)	(2,537)	-	Total liabilities	804,906	872,897	909,032	946,518	985,923	-
Minority interest	8	(12)	(13)	(13)	(13)	-	Shareholder equity	44,388	46,593	47,883	49,765	52,025	-
Adj. Net profit	4,315	5,629	4,990	5,788	6,272	-	Minority interests	394	465	465	465	465	-
PPOP per share	2.99	3.66	3.91	4.62	5.22	-	Total liabilities and Shareholder equity	849,688	919,955	957,380	996,748	1,038,413	-
Reported EPS	1.38	1.90	2.26	2.72	3.07	-	Interest bearing liabilities	-	-	-	-	-	-
Adj. EPS	1.65	2.34	2.26	2.72	3.07	-	Book Value Per Share	18.43	20.74	22.36	24.19	26.37	-
DPS	0.37	0.61	0.79	0.95	1.07	-	Tangible Book Value Per Share	14.99	16.77	18.51	19.97	21.84	-
Diluted shares outstanding	2,610	2,404	2,213	2,128	2,044	-							
Balance Sheet Gearing							Asset Quality/Capital						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Loans/Deposits	61%	54%	54%	54%	54%	-	Loan loss reserves/Loans	(1%)	(1%)	(1%)	(1%)	(1%)	-
Investment/Assets	46%	49%	51%	52%	53%	53%	NPLs/Loans	2%	2%	2%	2%	2%	-
Loan/Assets	35%	33%	32%	32%	32%	-	Loan loss reserves/NPLs	62%	58%	52%	52%	52%	52%
Customer deposits/Liabilities	58%	61%	61%	61%	61%	-	NPL y/y growth	(14%)	(4%)	1%	2%	2%	-
LT debt/Liabilities	8%	8%	8%	7%	7%	7%	Tier 1 ratio	17%	17%	17%	16%	16%	-
							CET1 ratio	14.2%	14.1%	13.8%	13.8%	13.9%	-
							CET1 capital	35,188	36,438	37,200	39,030	41,183	-
Ratio Analysis (%)							Ratio Analysis (%)						
	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E		FY24A	FY25A	FY26E	FY27E	FY28E	FY29E
Net interest margin	2%	2%	2%	2%	2%	-	Return on equity (ROE)	9.7%	12.4%	10.6%	11.9%	12.3%	-
Non interest income/Net revenue	43%	46%	49%	50%	51%	-	Return on assets (ROA)	0.5%	0.6%	0.5%	0.6%	0.6%	-
Non interest income/Avg. Assets	1%	1%	1%	1%	1%	-	ROTE	11.7%	14.7%	12.7%	14.2%	14.7%	-
Efficiency ratio	61%	59%	61%	58%	57%	-	Tax rate	33%	27%	28%	27%	27%	-
Leverage ratio	4.8%	4.9%	4.9%	4.9%	5.0%	-	Net loans y/y growth	(2%)	2%	4%	4%	4%	-
Revenue/Assets	2%	2%	2%	2%	2%	-	Assets y/y growth	3%	8%	4%	4%	4%	-
RORWA	1.8%	2.2%	1.9%	2.1%	2.2%	-	RWA y/y growth	1%	4%	5%	5%	5%	-
RWA	247,065	258,031	269,862	282,227	295,219	-	Deposits y/y growth	(1%)	14%	4%	4%	4%	-
Avg. RWA	245,608	252,548	263,947	276,045	288,723	147,610	Net interest income y/y growth	8%	1%	(0%)	2%	4%	-
LLR	(3,948)	(3,087)	(3,118)	(3,180)	(3,244)	-	Revenues y/y growth	12%	8%	5%	5%	5%	-
NPLs	6,203	5,964	6,024	6,144	6,267	-	Adj. EPS y/y growth	38%	42%	(4%)	21%	13%	-
							BVPS y/y growth	9%	12%	8%	8%	9%	-
P/BV (x)	1.3	1.2	1.1	1.0	0.9	-	IE assets/Assets	64%	62%	61%	61%	61%	-
P/TBV (x)	1.6	1.4	1.3	1.2	1.1	-	Margins (as % of Avg. Assets)	2%	2%	2%	2%	2%	-
Adj. P/E (x)	14.6	10.3	10.7	8.9	7.9	-	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.4%)	-
Dividend yield	1.5%	2.5%	3.3%	3.9%	4.5%	-	Equity/Assets	5.3%	5.1%	5.0%	5.0%	5.0%	-
Dividend payout	26.9%	32.3%	35.0%	35.0%	35.0%	-	Cost/Assets	1%	1%	1%	1%	1%	-
							Assets/Equity	18.8	19.5	19.9	20.0	20.0	20.0

Source: Company reports and J.P. Morgan estimates.
Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered (STAN.L, STAN LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 27, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
27-Feb-23	OW	771	1,000
17-Apr-23	OW	646	970
01-Aug-23	OW	747	980
07-Sep-23	OW	702	990
16-Jan-24	OW	605	820
26-Feb-24	OW	635	850
10-Apr-24	OW	673	900
03-May-24	OW	756	1,000
31-Jul-24	OW	770	1,020
04-Dec-24	OW	966	1,180
24-Feb-25	OW	1183	1,390
04-Aug-25	OW	1355	1,490
09-Sep-25	OW	1391	1,670
17-Oct-25	OW	1428	1,690
03-Nov-25	OW	1560	1,770
02-Dec-25	OW	1681	1,880
05-Feb-26	OW	1857	2,170

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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